Morning Briefing

Tuesday, 19 May 2026 | Generated ~06:45 BST | London pre-open | Data collected 06:00–06:45 BST

KEY RISK TODAY: US 30Y yield at 5.13% (highest since 2007) | Trump-Iran military standby | Samsung strike mediation ongoing | UK labour data 07:00 BST

2. IMPORTANT NEWS

Trump postpones planned Iran attack after GCC leaders intervene; military remains on standby

CNBC / Washington Post — 18 May 2026

Oil fell on relief but Brent stays above $107. Trump told Hegseth to be ready for "full, large scale assault on a moment's notice." Binary risk remains live; any breakdown in talks sends oil higher and equities lower.

US 30-year Treasury yield hits 5.127%, highest since 2007; 10-year at 4.60% — global bond rout deepens

Bloomberg / Reuters — 18–19 May 2026

Bond selloff driven by elevated oil, US CPI at 3.3% and zero prospect of Fed cuts in 2026. Rising long-end yields compress equity multiples and raise corporate borrowing costs. German Bund 10Y pulled back to 3.14% from 3.19%.

Korean court halts Samsung 18-day chip strike; Chairman Jay Y. Lee issues public apology; Kospi V-shaped reversal

Fortune / Bloomberg / TradingKey — 18 May 2026

45,000-worker strike at Samsung memory plants would have been the largest in semiconductor history. Court injunction and management concessions temporarily avert AI supply chain disruption. Second mediation round underway this morning.

Fed held rates at 3.50–3.75% in April with historic 4-way dissent; US CPI 3.3% YoY — no 2026 cuts expected

CNBC / Federal Reserve — 29 April 2026

Inflation re-acceleration and energy shock lock the Fed in place. April FOMC minutes release Wednesday. Markets have fully priced out cuts; hike probability slowly rising. Stagflation narrative strengthening.

Rolls-Royce €1bn dual-tranche euro bond 8.1x oversubscribed; first euro issuance since 2020 (A-/Fitch)

Bloomberg / Foreign Policy Journal — 17 May 2026

Signals selective but strong IG demand even in volatile backdrop. Defense-adjacent, investment-grade issuers can still open the window. Precedent for other UK/EU industrials considering euro supply.

3. EUROPEAN FUTURES — Pre-Open

Data: ~06:00–06:45 BST. Levels based on overnight futures activity. Sources: Barchart, Investing.com, Invezz.

INDEX	FUTURES LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	5,746	-1.3%	Geopolitical selloff; bond yield pressure
DAX	23,670	-1.15%	Industrials and tech weigh
CAC 40	7,860	-1.17%	Energy / luxury names mixed
FTSE 100	n/a pre-open	Modest decline expected	Cash closed Mon +0.04%; energy offset
US FUTURES — for context			
S&P 500 (cash close)	7,403.05	-0.07%	Mon 18 May close; futures directionally negative
Nasdaq (cash close)	26,090.73	-0.51%	Tech drag; bond yield pressure

4. YESTERDAY'S CLOSES — Monday 18 May 2026

Sources: Trading Economics, Invezz, CNBC. Confirmed closes.

INDEX	CLOSE	CHANGE	% CHANGE	COMMENT
Euro Stoxx 50	5,746	-76 pts	-1.30%	Broad selloff; Iran / bond yield fears
DAX	23,670	-277 pts	-1.15%	Industrials and autos led decline
CAC 40	7,860	-93 pts	-1.17%	Energy names partially offset; luxury weak
FTSE 100	10,149	+4 pts	+0.04%	Bucked trend; BP/Shell energy uplift; GBP weakness supportive

5. US MARKETS — Monday 18 May 2026 Session

Sources: GuruFocus, TheStreet, Sunday Guardian Live, CNBC.

INDEX	CLOSE	CHANGE (PTS)	% CHANGE
S&P 500	7,403.05	-5.45	-0.07%
Dow Jones	49,686.12	+159.95	+0.32%
Nasdaq	26,090.73	-134.41	-0.51%

SECTOR PERFORMANCE

SECTOR	PERFORMANCE	NOTE
Energy	+1.29%	Brent/WTI elevated; Iran premium
Financials	-0.81%	Yield curve pressure on sentiment
Technology	-1.51%	Rate sensitivity; bond yield headwind
Basic Materials	-3.53%	Worst sector; copper selloff; demand fears

Session tone: Mixed with defensive undertone. Dow held up on energy and defensive names; S&P and Nasdaq dragged by tech and materials. Rising bond yields (10Y at 4.60%, 30Y at 5.13%) compressed growth multiples. Trump's Iran attack postponement provided mid-session relief but market closed with broad caution. Energy was the sole clear winner. Bond market stress is the dominant macro driver.

6. ASIAN MARKETS — Overnight / Mon 18 May Session

Note: Report generated at ~06:45 BST. Nikkei and Shanghai data reflects Mon 18 May closes. Tue 19 May Asian session may still be partially in progress. Hang Seng and Kospi May 19 data unavailable at generation time. Sources: CNBC, Trading Economics, Yahoo Finance, TradingKey.

INDEX	LEVEL	% CHANGE	SESSION	COMMENT
Nikkei 225	60,815.95	-0.97%	Mon 18 May	Iran / bond yield concerns; yen safe-haven flows
Shanghai Composite	4,132	-0.08%	Mon 18 May	Near-flat; PBOC decision Wednesday in focus
Hang Seng	n/a	n/a	May 15: 25,962.73	Weekly review showed -1.62%; US-Iran / Taiwan warnings
Kospi	n/a	n/a	May 15: 7,493.18	V-shaped reversal expected after Samsung court injunction May 18; was -6.1% on May 15

Tone: Cautious. Nikkei fell on global bond yield pressure and Iran uncertainty. Shanghai near-flat ahead of Wednesday's PBOC rate decision. The dominant story is Korea: the Samsung 45,000-worker strike (18-day planned work stoppage from May 21) was halted by court injunction on May 18, triggering a V-shaped Kospi reversal. Samsung Chairman Jay Y. Lee returned from Japan and issued a public apology. Second mediation round is ongoing this morning. Resolution matters for global AI chip supply chains.

7. COMMODITIES

Data: Mon 18 May 2026. Sources: Trading Economics, OilPrice.com, Fortune, Kitco.

COMMODITY	LEVEL	CHANGE	% CHANGE	CONTEXT
Brent Crude	$107.71/bbl	-$1.55	-1.42%	Fell on Trump-Iran deal hopes; still +64% YoY; war risk premium intact
WTI Crude	$106.22/bbl	+$0.80	+0.76%	WTI/Brent spread inversion briefly; supply tightness from Hormuz risk
Gold	$4,542.49/oz	-$5.45	-0.12%	Near all-time high; up 41% YoY; strong dollar and yields weighed; central bank buying underpins
Natural Gas (Henry Hub)	$3.03/MMBtu	Higher	7-week high	Near-normal storage report; output decline; Iran LNG risk premium building
Copper (LME)	~$6.50/lb	-$0.13	~-2.0%	Profit-taking from near-record highs; AI infra and grid demand long-term supportive

8. RATES & FX

Data: Mon 18 May / early Tue 19 May 2026. Sources: Trading Economics, FRED, ExchangeRates.org, PoundSterlingLive.

INSTRUMENT	LEVEL	CHANGE	DIRECTION	NOTE
US 10Y Treasury	4.60%	Higher	Selling	Near highest since early 2025; markets price zero 2026 cuts
US 30Y Treasury	5.13%	+0.01pp	Selling	**Highest since 2007** — equity multiple headwind
German Bund 10Y	3.14%	Pulled back	Bid	Retreated from intraday high of 3.19%; ECB June in focus
EUR/USD	1.1655	+0.25%	EUR gaining	Recovered from 1-month low of 1.161; Iran optimism lifted risk appetite
GBP/USD	1.3310	-0.13%	GBP weak	Weekly low; UK labour data this morning (07:00 BST) key catalyst
DXY (Dollar Index)	~99	Lower	USD softening	Pulled back from 1-month high; Iran deal optimism reduced safe-haven demand

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (PRICED WEEK OF 12–18 MAY 2026)

ISSUER	CURRENCY / SIZE	TRANCHES	COUPON	RATING	COVERAGE	ARRANGERS	NOTE
Rolls-Royce Holdings	EUR €1bn	€500m May 2031 + €500m May 2036	3.375% / 3.875%	A- (Fitch)	8.1x oversubscribed (>€8.1bn orders)	BNP Paribas, CA-CIB, Goldman Sachs, Lloyds, Santander, SocGen	First euro bond since 2020; defense spending / EBITDA margin ~20% cited

Note: Specific IPT-to-pricing tightening data not retrieved. Additional May 18 issuances not confirmed via available sources — report as above only. Other deals may have priced; data marked n/a pending Bloomberg/IFR verification.

PIPELINE / EXPECTED TODAY & THIS WEEK

Pipeline data not confirmed via public sources at generation time. n/a — check IFR Markets and GlobalCapital for mandated deals. Given elevated yields (US 10Y 4.60%, Bund 3.14%) and geopolitical uncertainty, execution risk is elevated for HY issuers. IG window remains selectively open for strong credits.

KEY SPREADS

INDEX	LEVEL	MOVE	DIRECTION
iTraxx Main (5Y)	n/a	n/a	Not retrieved
iTraxx Crossover (5Y)	n/a	n/a	Not retrieved
CDX IG	n/a	n/a	Not retrieved
Avg Euro IG Corp Spread	n/a	n/a	Not retrieved

Spread data requires Bloomberg/Reuters Eikon subscription-level access. Verify via terminal before trading.

COMMENTARY

The primary window is selectively open for IG names with strong fundamentals. Rolls-Royce's 8.1x oversubscription on a rare euro issuance confirms that defense-adjacent, investment-grade credits can still attract substantial demand despite elevated yields and geopolitical noise. The 5/10Y dual-tranche structure at 3.375%/3.875% reflects meaningful premium to Bunds, but demand for yield and quality drove the book. High-yield issuance is likely constrained: widening credit conditions, energy-driven inflation, and rising base rates create a difficult execution environment. SSA issuers face steeper yield curves and compressed swap spreads, shifting demand toward shorter maturities. Industrials and transport names monitoring window for opportunistic supply; financing need driven by elevated capex and defense budget expansion.

10. ECONOMIC CALENDAR — Tuesday 19 May 2026

Sources: LiteFinance weekly calendar, Trading Economics, FXStreet, Econoday.

LONDON TIME	COUNTRY	INDICATOR	CONSENSUS	IMPORTANCE
07:00 BST	UK	Labour Market: Claimant Count, Unemployment Rate, Average Earnings	n/a	HIGH
01:30 BST	Australia	RBA May Meeting Minutes	n/a	MEDIUM
TBD (afternoon BST)	Canada	CPI (April)	n/a	HIGH
Rest of week — key dates				
Wed 20 May, 07:00	UK	CPI (April)	n/a	HIGH
Wed 20 May, TBD	China	PBOC Rate Decision (LPR)	n/a	HIGH
Wed 20 May, 19:00	US	Fed April FOMC Meeting Minutes	n/a	HIGH
Thu 21 May, 09:00	Eurozone / Germany / UK / US	Flash PMIs (Manufacturing + Services)	n/a	HIGH
Fri 22 May, 07:00	UK	Retail Sales (April)	n/a	MEDIUM

11. CORPORATE EVENTS & EARNINGS — 19 May 2026

Samsung Electronics (005930.KS) — Strike mediation round 2 ongoing this morning. Court injunction (May 18) halted planned 18-day work stoppage from May 21. Chairman Jay Y. Lee returned from Japan early; issued public apology. Prime Minister warned of emergency adjustment powers. WATCH

Rolls-Royce (RR.L) — Share price trading near GBX 1,200 post-bond allocation (May 17). Technical indicators flagging overbought. Defense spending tailwind intact. Next earnings catalyst TBD. WATCH

Multiple European companies — Approximately 40 earnings releases scheduled across European markets this week per MarketScreener data. Specific confirmed names for May 19 not retrieved at generation time. Check Yahoo Finance earnings calendar for full list. CHECK

US earnings season — Q1 2026 season largely complete per FactSet (as of May 1). Residual reporters today not confirmed. Check Investing.com earnings calendar. CHECK

12. STOCKS TO WATCH

COMPANY	TICKER	REASON	DIRECTION
Samsung Electronics	005930.KS	Court injunction halted 18-day strike; Chairman apology; mediation round 2; Kospi V-shape developing. World's largest memory chip maker.	BULLISH
SK Hynix	000660.KS	AI chip supply chain dynamics post-Samsung; SK's 72% Q1 operating margin triggered Samsung worker dispute. Watch for sympathy moves and AI infrastructure narrative.	WATCH
Rolls-Royce	RR.L	Bond success (8.1x oversubscribed); GBX 1,200; overbought technicals; defense spending structural tailwind. Strong cash generation narrative.	WATCH
IAG / Air France-KLM / Lufthansa	IAG.L / AF.PA / LHA.DE	Brent at $107/bbl — fuel cost squeeze. No near-term relief unless Iran deal materialises. Margin compression risk.	BEARISH
BP / Shell / TotalEnergies	BP.L / SHEL.L / TTE.PA	Brent at $107; oil up 64% YoY. Elevated margins; Iran war risk premium embedded. FTSE 100 energy resilience driver (Mon +0.04%).	BULLISH
Glencore / Anglo American / Rio Tinto	GLEN.L / AAL.L / RIO.L	Copper -2% Mon; US basic materials worst sector (-3.53%). Demand growth outlook questioned despite AI infra long-term bid. Near-term technical pressure.	BEARISH (near-term)
BAE Systems / Rheinmetall / Leonardo	BA.L / RHM.DE / LDO.MI	Iran conflict extension sustains elevated European defense budgets. Defense spend structural theme accelerating; multi-year order books building.	BULLISH
HSBC / Barclays / NatWest	HSBA.L / BARC.L / NWG.L	UK labour market data at 07:00 BST — direct catalyst. Steep yield curve supports net interest income. Watch for earnings revision if data surprises.	WATCH

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Federal Reserve — rates held, no 2026 cuts. April 28-29 meeting: 8-4 vote to hold at 3.50–3.75%. Four dissenters (Miran for cut; Hammack, Kashkari, Logan for hold/hike considerations). Most contested FOMC in over 30 years. April minutes Wednesday — watch for rate hike language.

US CPI 3.3% YoY (March) — highest since Q2 2024. Energy price surge from Iran war the primary driver. Services inflation sticky. Market has fully priced out cuts; hike probability beginning to enter terminal rate discussion.

ECB June meeting — rate path complicated. German Bund 10Y at 3.14% after touching 3.19%; European energy shock feeding into headline CPI. ECB must balance growth slowdown against inflation re-acceleration. June decision less certain than markets assumed three months ago.

Gold at all-time high territory ($4,542/oz). Up 41% YoY. Central bank buying, inflation hedging, and geopolitical insurance driving demand. Modest pullback Monday but structural bid intact.

CORPORATE

Rolls-Royce: First euro bond since 2020 — 8.1x oversubscribed. €1bn dual-tranche (€500m 3.375% May 2031, €500m 3.875% May 2036). A-/Fitch. Demonstrates that defense-adjacent IG credits with ~20% EBITDA margins and 11% FCF yield can open a volatile primary window. Precedent for other UK industrials.

Samsung strike averted — court injunction and public apology. 45,000-worker stoppage at Samsung memory plants halted. SK Hynix's 72% Q1 operating margin and its profit-sharing scheme emboldened Samsung workers. Mediation continues; risk not eliminated, but immediate supply disruption avoided.

European earnings season largely complete. BNP Paribas, SocGen, Deutsche Bank, ING, Santander all reported late April. Sector rotation: defense, energy and financials outperforming technology and consumer discretionary YTD in Europe.

POLITICAL / GEOPOLITICAL

Trump postpones Iran attack — military on standby. Qatari Emir, Saudi Crown Prince MBS, and UAE President asked Trump to hold off as "serious negotiations are now taking place." Trump maintains blockade until nuclear deal reached; conditions include "NO NUCLEAR WEAPONS FOR IRAN." Military told to prepare "large scale assault on a moment's notice."

Trump-Xi summit concluded (May 15) — limited trade progress. Two-day summit in Beijing ended with no major trade deal. Existing truce maintained. Both sides committed to further talks. Geopolitical tension around Taiwan maintained; Korean semiconductor situation adds complexity.

Korean political risk — Samsung, AI policy, AI profit redistribution. South Korea's president proposed "AI profit redistribution," triggering a broader policy debate. Samsung labor dispute intertwined with government AI industrial policy. Emergency adjustment powers threatened.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Iran diplomacy — fragile truce

Trump postponed attack; military on standby. Any breakdown in talks sends Brent back above $110 and European equities down 2%+. Every headline matters.

2. US 30Y yield at 5.13% — highest since 2007

Long-end selloff compresses growth multiples globally. Each 10bp rise removes ~$1 trillion from global equity valuations. Watch 5.15% as next psychological level.

3. Samsung court injunction — Kospi V-shape

Strike halted but mediation unresolved. A confirmed settlement lifts Korean tech and AI chip names globally. Breakdown reactivates supply disruption risk narrative.

4. UK Labour Market data — 07:00 BST

Claimant count and unemployment rate — direct input to BoE June rate decision. Weak data supports rate cut; strong data pushes back. GBP/USD at 1.3310 is sensitive.

5. Continental Europe opens -1.2%

DAX at 23,670, CAC at 7,860 in futures. FTSE bucked trend on energy. Session tone set by Iran news flow and whether bond yield pressure stabilises or intensifies.

THIS WEEK'S TOP 5

1. Fed April FOMC minutes — Wed 20 May

4-way dissent detail: how close was the FOMC to a hike? Language around inflation trajectory and energy price pass-through will set near-term rate expectations.

2. Flash PMIs — Thu 21 May

Eurozone, UK, and US preliminary PMIs measure real-time impact of energy shock and geopolitical disruption on manufacturing and services activity.

3. Samsung mediation outcome

18-day strike was due to begin May 21. Court injunction active. Settlement by May 21 removes AI supply risk premium; failure re-opens it and hits Nikkei and Nasdaq semis.

4. PBOC rate decision — Wed 20 May

China LPR decision. Markets expect stimulus given trade war truce uncertainty and property sector drag. A cut lifts Chinese equities and commodity demand sentiment.

5. UK CPI — Wed 20 May

April UK inflation print. Energy passthrough from oil surge is key. Determines whether BoE June cut is possible or stays on hold. Sterling direction follows.

THIS MONTH'S TOP 5

1. US-Iran nuclear deal — binary oil outcome

Deal removes $15-20/bbl war premium from Brent (scenario: $87-92); attack resumption could push above $120-130. Largest single macro risk for May.

2. Fed rate hike risk — paradigm shift

Markets shifted from "2 cuts" to "0 cuts" in 4 months. Shift to "1 hike" would be a severe shock to equity and credit markets. FOMC minutes this week critical evidence.

3. Korean semiconductor supply — AI supply chain

Samsung + SK Hynix = 42% of Kospi. 45,000-worker strike at world's largest memory chip maker would be the biggest supply chain disruption in AI infrastructure build-out.

4. European defense spending acceleration

Iran conflict extending European defence budget cycle. BAE, Rheinmetall, Leonardo, Rolls-Royce all benefiting from structural multi-year orders. Sector outperforming strongly YTD.

5. Gold at $4,542 — all-time high territory

Central bank buying (EM reserve diversification), inflation hedging, and geopolitical insurance combining. Up 41% YoY. Watch for potential break to $4,700+ or correction if Iran deal confirmed.

15. KEY TRENDS TO WATCH

1 DAY — TODAY'S SESSION DRIVERS

- **Iran news flow:** Any signal of deal progress sends Brent lower and lifts equities; any threat resumption sends energy and defense up, equities down.
- **Bond yield trajectory:** Whether US 10Y holds below 4.65% and 30Y below 5.15% determines whether equity selling intensifies. Watch 13:30 BST US open.
- **UK labour market print (07:00 BST):** Claimant count / unemployment / earnings — GBP and UK bank direction for the session.
- **Samsung mediation:** Any signal before May 21 strike date calms Korean tech; failure risks fresh Kospi selling ahead of European close.

1 WEEK — STRUCTURAL WEEK DRIVERS

- **Fed April minutes (Wed):** Inflation language and rate hike discussion — single most important rate event of the week globally.
- **Flash PMIs (Thu):** Real-time growth vs. inflation assessment across major economies; manufacturing vs. services divergence watch.
- **PBOC rate decision (Wed):** China stimulus signal — copper, iron ore, and EM FX directional catalyst.
- **UK CPI (Wed):** Determines BoE June meeting outcome probability; sterling and Gilt yield direction follows.
- **Samsung mediation deadline (by May 21):** Resolution removes AI supply chain risk; escalation triggers semiconductor sector de-rating globally.

1 MONTH — STRATEGIC MACRO TRENDS

- **US-Iran binary resolution:** Deal (oil -$15-20, equities rally, bonds bid) vs. attack resumption (oil $120+, recession risk, defense rally). Dominant macro event of May.
- **Fed trajectory shift — from 0 cuts to hike risk:** If May CPI (June release) shows no progress, hike probability crosses 20% — repricing of all risk assets. Watch June 11 CPI date.
- **ECB June decision:** Eurozone energy shock vs. growth slowdown. June 5 ECB meeting. Cut probability receding; hold most likely but language will matter for EUR.
- **Korean semiconductor resolution:** Permanent deal or protracted dispute defines AI compute availability and Nvidia/TSMC earnings outlook for H2 2026.
- **Gold supercycle and commodity rotation:** Gold, oil, and natural gas all elevated. Copper and base metals correcting. Whether commodity inflation is supply-side (Iran) or demand-side determines duration of the cycle and central bank response.

Sources used in this report:

- CNBC — US markets, S&P 500, Dow Jones, Nasdaq closes; Trump-Iran news; Asian markets; Fed rate decision
- Bloomberg — Bond yields; oil markets; Rolls-Royce bond; Korean markets
- TheStreet — S&P 500 daily market update May 18
- GuruFocus — S&P 500 sector performance; Dow/Nasdaq close
- Invezz — European index crash article; DAX/CAC/Stoxx levels May 18

- Trading Economics — Brent, WTI, Gold, FX rates, Bund yield, FTSE 100
- Fortune — Samsung strike; oil price
- TradingKey — Kospi analysis; Samsung court injunction; V-shaped reversal
- Sunday Guardian Live — US market summary May 18
- Foreign Policy Journal — Rolls-Royce bond issuance details
- Yahoo Finance / ExchangeRates.org — EUR/USD, GBP/USD historical rates
- EIA / Fred St. Louis Fed — Natural gas Henry Hub price
- LiteFinance — Weekly economic calendar May 18-24 2026
- Benzinga — Copper supercycle; Kospi 8,000 analysis
- NBC News / PBS NewsHour / Washington Post / Newsweek / Axios — Iran geopolitical context
- GlobalCapital / IFR — SSA issuance context; bond market outlook
- Federal Reserve — April 28-29 FOMC statement and rate decision